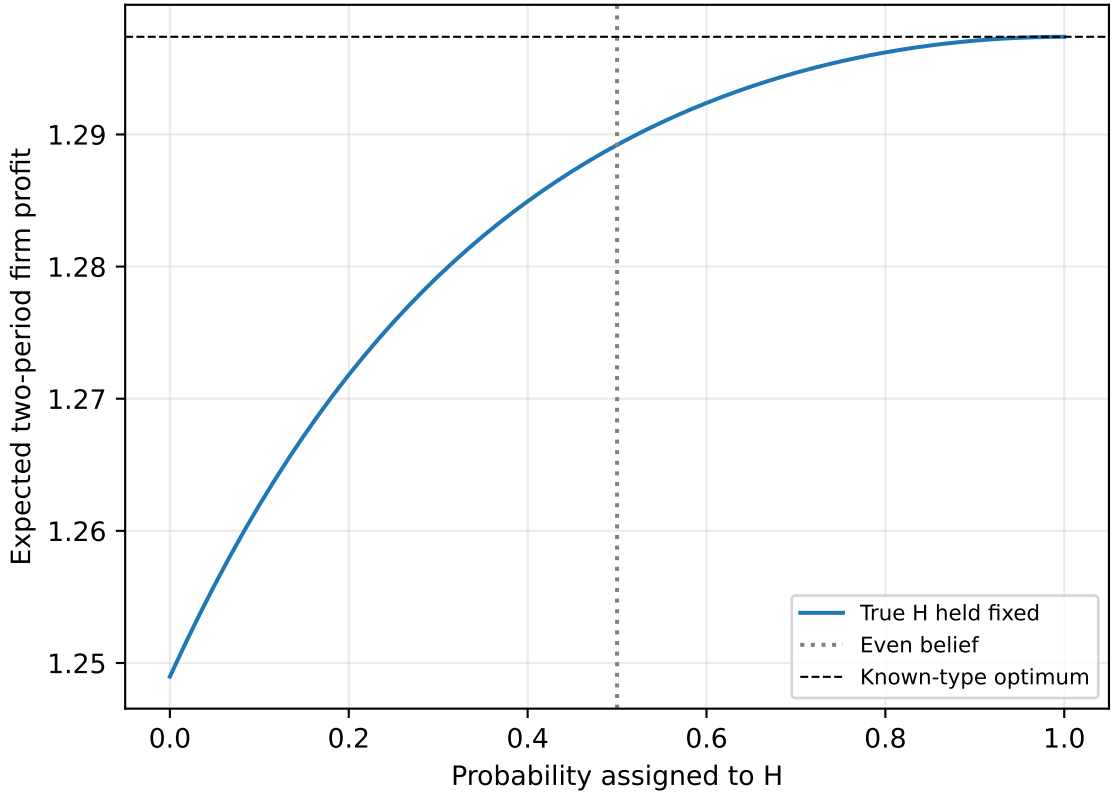
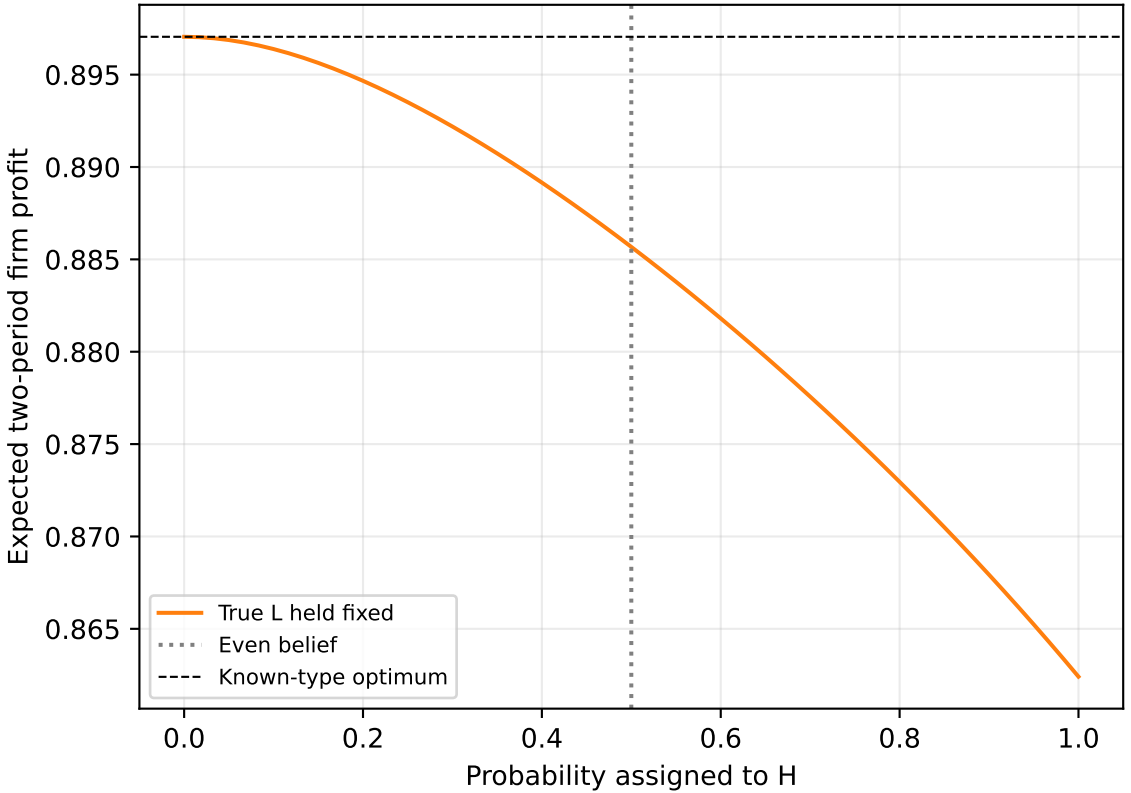

Expected two-period firm profit
1.29
1.28
1.27
1.26
1.25
0.0
0.2
0.4
0.6
0.8
1.0
Probability assigned to H
True H held fixed
Even belief
Known-type optimum


Expected two-period firm profit
0.895
0.890
0.885
0.880
0.875
0.870
0.865
0.0
0.2
0.4
0.6
0.8
1.0
Probability assigned to H
True L held fixed
Even belief
Known-type optimum